

THE UNIVERSITY OF ZAMBIA
DEPARTMENT OF ECONOMICS
2020-2021 ACADEMIC YEAR
ECN 1215 TUTORIAL SHEET 2

QUESTION 1

Clearly define the following terms;

- a) The Labour Force
- b) Adult working population
- c) Okun's Law
- d) Efficiency wage
- e) Disguised unemployment
- f) Minimum Wage

QUESTION 2

In each of the following cases, classify the person as cyclically unemployed, structurally unemployed, frictionally unemployed, or not in the labor force. Explain your answers.

- a) John just graduated from a top medical school and is currently deciding which hospital emergency room job she will accept.
- b) Peter lost his job as an assembly line worker at Chrysler due to the recession.
- c) Joseph, an advertising executive in Seattle, quit his job one month ago to look for a more prestigious advertising job in New York City. He is still looking for a job.
- d) Jane got laid off from her job as a financial analyst 3 months ago and has not looked for a new job since then.
- e) James lost his job as a welder due to the introduction of robotic welding machines.
- f) Mercy quit her job as a hotel concierge to become a full-time student at a culinary school
- g) Mulenga lost his job during the 2008 recession. What type of unemployment is he experiencing?
- h) After raising two children, Mrs Busuma has started looking for a job and sent out a few job applications. What type of unemployment is she experiencing?

QUESTION 3

- I. Suppose the number of employed people in an economy is 121,166,640. The unemployment rate in this economy is 10.4 percent, or 0.104, and the labor force participation rate is 72.5 percent, or 0.725.
 - a) What is the size of the labor force?
 - b) How many people are unemployed?
 - c) What is the size of the working-age population?

- II. UNZA is a small country with a total population of 15456235. It is said that 9528258 of this population is aged between 16-65 years, 6569500 are not actively looking for a job while 1563896 are temporarily unemployed and 589630 have given up looking for a job. Furthermore, it is reported that 51% of the total population and 65% of the population not in the labour force is female while 78% of the population employed is male.
- Calculate;
- a) Number of people in the labour force
 - b) Number of people unemployed
 - c) The Unemployment rate
 - d) The labour force participation rate
 - e) The percentage of the labour force that is frictionally unemployed
 - f) Calculate the unemployment rates for the males and females
- III. If the labor force of a country as of May 2021 was 154.5 million. There were 146 million employed, and 8.5 million unemployed. There were about 2.18 million in prison.
- a) Calculate the official unemployment rate.
 - b) If those 2.18 million people were not in prison, but were in the labor force and unemployed, calculate what the unemployment rate would be.

QUESTION 4

- a) What are the major types of unemployment?
- b) Explain the two main strategies/policies for reducing unemployment- (Hint: Demand side policies and Supply side policies).
- c) How can fiscal policy and monetary policy be used to reduce unemployment?

QUESTION 5

- I. Define the following terms
- a) Public Finance
 - b) Externality
 - c) Budget deficit
 - d) National Debt
 - e) Tax

QUESTION 6

- a) Why do we need public finance?
- b) What is a public good and what are its characteristics?
- c) Discuss the type of government spending.
- d) Discuss the type of taxes and tax systems.
- e) Define and discuss fiscal policy.
- f) Draw and write brief notes on the Laffer curve.